

25STCV25494 25STCV25494

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Case Number: 25STCV25494 Hearing Date: September 21, 2026 Dept: 11

Gonzalez-Monterroza (25STCV25494)

Tentative

Ruling Re: Motion to Approve Private Attorneys General Act ("PAGA") Settlement

Date: 9/21/26

Time: 11:00 am

Moving Party: Ariela

Gonzalez-Monterroza ("Plaintiff")

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

Plaintiff's motion to approve PAGA settlement is granted as to the attorney fees, attorney costs, administration costs, and incentive award.

During oral arguments, the Court will ask Plaintiff's counsel to discuss the gross settlement amount and net settlement amount. The court will inquire about the class claims.

BACKGROUND

This is a wage-and-hour representative action.

Here, Plaintiff requests approval of the parties' PAGA-only settlement.

This case was filed as a class action. No class has been certified, and the class claims have not been dismissed.

LAW

PAGA permits an "aggrieved employee" to recover Labor Code civil penalties on the LWDA's behalf, if the LWDA declines to collect the penalties itself. (Cal. Lab. Code, § 2699, subd. (a); see also *Mejia v. Merchants Building Maintenance, LLC* (2019) 38 Cal.App.5th 723, 732-733.) The California Supreme Court has distinguished between Labor Code "civil penalties" that are "intended to 'punish the employer' for wrongdoing, often 'without reference to the actual damage sustained'" and "statutory damages" that "primarily seek to compensate employees for actual losses incurred" – a PAGA action can recover only the former. (*Z.B., N.A. v. Superior Court* (2019) 8 Cal.5th 175, 182, 198 [holding that Labor Code section 558 "amount sufficient to recover unpaid wages" is not a "civil penalty" recoverable via PAGA].) "A PAGA action is 'fundamentally a law enforcement action designed to protect the public and not to benefit private parties.'" (*Mejia*, supra, 38 Cal.App.5th at 732; see also *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 381.)

PAGA requires a court to "review and approve any settlement of any civil action filed" under PAGA, but it does not provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699, subd. (l)(2).) The California Supreme Court has interpreted PAGA as requiring courts to ensure that "any negotiated [PAGA] resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549, emphasis added.) The parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is "bound by the outcome of the proceeding to

adjudicate the employee's PAGA claim" (Mejia, supra, 38 Cal.App.5th at 732); (2) the aggrieved employees, party and non-party, who receive 35% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment; (3) plaintiffs' counsel, who may be awarded reasonable attorney fees and costs; and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides greater detail about the standard courts should apply when evaluating PAGA settlements. The opinion adopts the "fair, reasonable, and adequate" standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = \$161,000.00

Attorney fees = \$53,661.30

Attorney costs = \$22,214.75

Administration costs = \$4,750.00

Incentive award = \$5,000.00

Net settlement amount = \$75,373.95

Analysis

Plaintiff's counsel's declaration

establishes that, in preparation for mediation, the parties took part in informal discovery. Plaintiff's counsel

used the information to assess the value of the case and associated risks. Ultimately, Plaintiff's counsel came up with maximum and discounted exposure estimates.

Plaintiff's counsel asserts that the gross settlement amount is within a reasonable range, especially considering the defenses Defendant raised, and that the settlement is fair, reasonable, and adequate. (See Gomez Decl., ¶¶ 6-16.)

As PAGA necessitates, Plaintiff's counsel submitted a pre-suit notice letter and a copy of the settlement to the

LWDA. (See id. at ¶¶ 5, 9, Exs. 1, 3.)

The Court finds as follows.

Gross Settlement Amount and Net Settlement Amount

Plaintiff's counsel

calculated Defendant's maximum PAGA exposure to be \$2,232,800.00. (See id. at ¶ 14.) The amount seems to involve stacking. (See *ibid.*)

The Court doubts that an

award with stacking would be granted.

"Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (*Bernstein v. Virgin America, Inc.* (9th Cir. 2021) 3 F.4th 1127, 1144.)

There does not appear to be a previous citation by the Labor Commissioner in this case.

Ultimately, the Court

needs more information. The calculation

of the discounted exposure amount (\$558,200.00) is based on a \$100.00 penalty per pay period ($\$100.00 \times 5,582$ pay periods) (see *Gomez Decl.*, ¶ 14), yet Plaintiff alleges multiple violations (overtime violations, meal period violations, rest period violations, etc.).

(See id. at ¶ 4.) Is the

\$100.00 penalty meant to cover all alleged violations that each aggrieved employee allegedly experienced during each pay period? If yes, other than the unlikelihood of a stacking award, why does Plaintiff's counsel believe it is more reasonable to use a single penalty per pay period than to do a claim-by-claim assessment? Plaintiff's counsel should be prepared to answer these questions. If necessary, the Court will give Plaintiff's counsel an opportunity to submit a supplemental declaration concerning the purported reasonableness of the aggregate penalty.

Whether the net

settlement amount (\$75,373.95) is fair, reasonable, and adequate depends on whether the gross settlement amount ends up being found fair, reasonable, and adequate.

Attorney Fees

The amount for attorney fees (\$53,661.30) is fair, reasonable, and adequate. This is a contingency case. (See *id.* at ¶ 30.) In contingency cases in the complex courts, 33% to 35% of the gross recovery is normal.

Attorney Costs

The amount for attorney costs (\$22,214.75) is fair, reasonable, and adequate. It is within the range that has been approved in other complex cases in Department 11.

The settlement agreement caps attorney costs at \$24,000.00. (See *id.* at Ex. 2, § 3.2.2.) If the costs fail to reach the cap, the Court will award the incurred amount to ensure that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

The amount for administration costs (\$4,750.00) is fair, reasonable, and adequate. Like the attorney costs, it is within the range that is typically approved in Department 11.

Incentive Award

The amount for Plaintiff's incentive award (\$5,000.00) is fair, reasonable, and adequate.

Releases

The releases state:

5. RELEASES OF CLAIMS. Effective on the date when Defendant fully funds the Gross Settlement Amount, Plaintiff, Aggrieved Employees, and PAGA Counsel will release claims against all Released Parties as follows:

5.1 Plaintiff's Release. Plaintiff on her own behalf and on behalf of Plaintiff's former and present representatives, agents, attorneys (including PAGA Counsel), administrators, successors and assigns generally, discharges Released Parties from all known and unknown claims Plaintiff may have or claim to have against Defendant as well as Defendant's members, officers, directors, managerial employees, and agents. In connection with said release, Plaintiff shall waive all rights under California Civil Code section 1542 and any other provision of law that may restrict the release of unknown claims. Plaintiff's Release does not extend to any claims or actions to enforce this Agreement, or to any claims for vested benefits, unemployment benefits, disability benefits, social security benefits, workers' compensation benefits that arose at any time, or based on occurrences outside the PAGA Period. Plaintiff acknowledges that Plaintiff may discover facts or law different from, or in addition to, the facts or law that Plaintiff now knows or believes to be true but agrees, nonetheless, that Plaintiff's Release shall be and remain effective in all respects, notwithstanding such different or additional facts or Plaintiff's discovery of them.

5.1.1 Plaintiff's Waiver of Rights Under California Civil Code Section 1542. For purposes of Plaintiff's Release, Plaintiff expressly waives and relinquishes the provisions, rights, and benefits, if any, of section 1542 of the California Civil Code, which reads: A general release does not extend to claims that the creditor or releasing party does not know or suspect to exist in his or her favor at the time of executing the release, and that if known by him or her would have materially affected his or her settlement with the debtor or released party.

5.2 Released PAGA Claims: Effective upon Court approval of this Settlement, all Aggrieved Employees, on behalf of themselves and their respective former and present representatives, agents, attorneys, administrators, successors and assigns, are deemed to release all claims for PAGA civil penalties that are alleged or reasonably could have been alleged based on the facts alleged in the operative Complaint and in Plaintiff's September 2, 2025, PAGA Notice. The Released PAGA Claims are those that accrued during the PAGA Period.

(Id. at Ex. 2, §§ 5-5.2,
bolding and underlining in original.)

The Court is satisfied that the
release is appropriate.

[1] Recently, the Legislature amended PAGA,
changing the LWDA's recovery from 75% to 65% and the aggrieved employees'
recovery from 25% to 35%. (See
Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group
2025) ¶ 17:830.) The parties must ensure
that the settlement complies with these percentages.